

CASE STUDY #5 — TELECOM

Vodafone Idea's Survival in a Duopoly Market

Data current as of July 2026. Sources: TRAI, company results, analyst notes.

Introduction

The Indian government has converted a large chunk of Vodafone Idea's (Vi) AGR and spectrum dues into equity, becoming its largest shareholder at 48.99%. Is this a genuine survival path, or a slow-motion nationalization / managed exit? Against Jio and Airtel's tariff, network, and capex dominance, the question is what Vi should actually do differently.

Background

As of April 2026 TRAI data, Reliance Jio holds 39.25% market share (499.3 million subscribers, ₹214 ARPU), Bharti Airtel holds 37.81% (480.9 million subscribers, ₹257 ARPU), Vodafone Idea holds 15.61% (198.5 million subscribers, ₹190 ARPU), and BSNL holds 7.31% (93.0 million subscribers). Jio and Airtel together hold ~77% of subscribers, and Vi's share has been on a multi-year secular decline, though net additions turned marginally positive by Q1 FY27.

Vi's balance sheet crisis traces back to the 2019–2020 Supreme Court AGR ruling, a 2021–2023 payment moratorium with ~₹16,000 crore of interest converted to equity (making government a ~33% shareholder), an April 2025 conversion of ₹36,950 crore of spectrum dues (pushing the government stake to 48.99%), and a Dec 2025–Apr 2026 DoT reassessment cutting Vi's AGR liability from ₹87,695 crore to ₹64,046 crore with repayment pushed to FY32–FY41.

The core structural problem is capex: Jio and Airtel together invested ₹1.3–1.7 trillion in network expansion during FY21–FY25, while Vi's cumulative capex over the same period was only ~₹22,500 crore — roughly 6–8% of what its rivals spent during the exact years 5G was rolled out nationally.

Approach: Strategic Options Considered

- **Option A — Aggressive Capital Catch-Up:** raise substantially more capital to fund a much larger capex program targeting 5G and enterprise parity in Vi's 17 priority circles. The only path that plausibly regains share, but requires capital multiples beyond what has been raised and deepens nationalization optics.
- **Option B — Capex-Light Differentiation:** concentrate on the 17 priority circles, skip capital-intensive FWA, lean on the AST SpaceMobile satcom partnership for rural coverage, and push tariff hikes toward the industry's ₹300 ARPU aspiration. Matches spending to Vi's actual balance sheet, but analysts expect it to only stabilize share near 16%, not grow it.
- **Option C — Accept Managed Decline:** treat Vi as a wind-down/consolidation candidate — harvest cash from the core, avoid further large capex, and prepare for eventual formal restructuring or sale. Financially honest given the capex math, but politically costly given 193 million subscribers and banking exposure.

Strategic Implications

- Competitive strategy: in network industries, capex is the primary moat — coverage drives retention, which drives ARPU, which funds further capex. Vi is caught in reverse of this cycle.
- Unit economics: Vi's ARPU (₹190) trails Airtel (₹257) and Jio (₹214); much of its survival case rides an industry-wide tariff tailwind it doesn't have to fight for, but the capex it needs to fund alone.
- Political economy: with government simultaneously regulator, creditor, and majority shareholder, a "correct" pure corporate-strategy answer (e.g., harvest cash) can be right for Vi as a company while politically unacceptable for its majority owner.
- The strongest reading is that Option B is already the de facto strategy, with the real question being how much of Option A's capital scale can realistically be layered onto it before promoters or government balk, and Option C as the implicit fallback.

Final Note

The government has floor-priced Vi's downside risk without fixing its structural capex deficit. Vi's survival is no longer purely a market outcome — it is a managed, state-influenced equilibrium, and any strategic recommendation has to be evaluated against both corporate and political-economy constraints simultaneously.

Questions for Discussion

- If you were advising the DoT, would you convert more debt to equity again if Vi asks in 2027–28?
- Is a government-controlled Vodafone Idea good or bad for Indian consumers?
- Vi has ruled out 5G FWA while Jio and Airtel race into it — good focus, or a category it can't afford to cede?
- How would you judge whether the AGR relief actually "worked"? What FY27–29 metrics would you track?